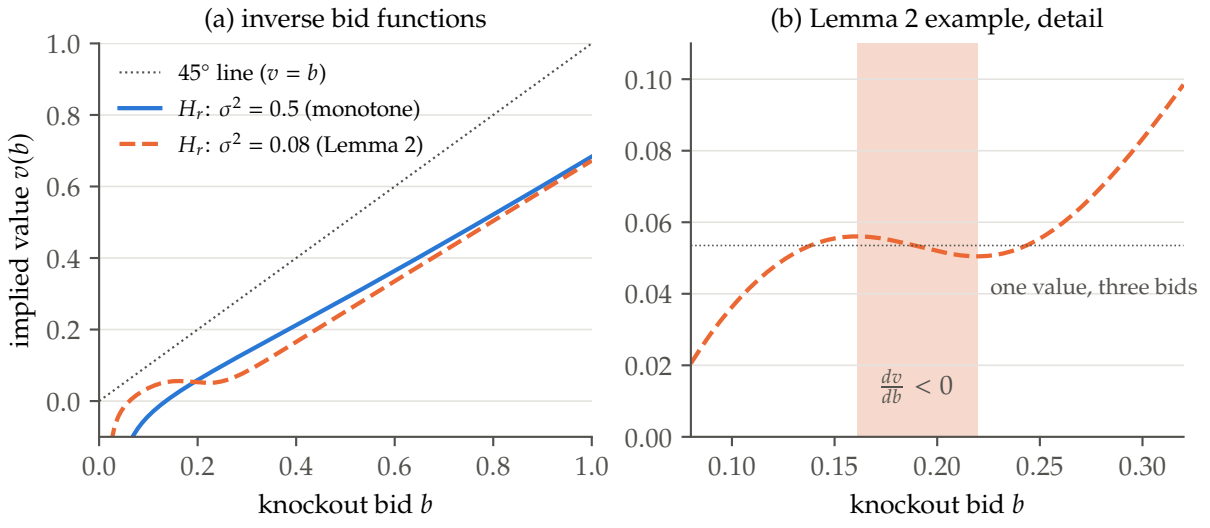

(a) inverse bid functions
45° line ($v = b$)
H_r: $\sigma^2 = 0.5$ (monotone)
H_r: $\sigma^2 = 0.08$ (Lemma 2)
implied value $v(b)$
knockout bid b
(b) Lemma 2 example, detail
one value, three bids
$\frac{dv}{db} < 0$
knockout bid b